

**The Rise of Passive Investing: Its Long-Term Impact on Market
Efficiency and Corporate Governance**

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Abstract

This paper examines the revolutionary growth of passive investing and its subtle long-term effects on market efficiency and corporate governance. Index funds and exchange-traded funds (ETFs) have gone mainstream over the last two decades thanks to their low fees, availability, and consistent performance compared with actively managed equivalents. The article surveys theoretical underpinnings of passive investing, compares it with active management, and places its effects within the Efficient Market Hypothesis (EMH). Using qualitative analysis and exemplary case studies, the study inquires whether the rise of passive funds undermines price discovery mechanisms and fuels systemic threats like market homogenization and herding. In governance, the study critically evaluates how passive asset managers—most notably the "Big Three" (BlackRock, Vanguard, and State Street)—exercise influence over corporate decision-making through proxy voting and stewardship despite being powerless to sell their stakes in struggling companies. The paper also covers concern about common ownership and the morality of concentrated voting rights. New innovations like passive stewardship, customized indexing, and evolving regulatory emphasis are also discussed in charting the future direction of passive investing. The evidence tells us of a double-edged nature of passive investing: while it evens out the playing field of market entry and lowers the cost of investing, it also raises new challenges to competitive forces, corporate accountability, and efficiency of capital allocation. The study concludes by suggesting avenues for further research and policy reform to balance the benefits of passive approaches with their overall systemic implications.

1. Introduction

Passive investing—defined by index funds and exchange-traded funds (ETFs)—seeks to replicate market indices, neither attempting to beat the indices through security selection nor timing the market. The funds offer low-cost, broad exposure to the market at minimal costs with minimal fees by holding portfolios replicating indices such as the S&P 500 or Nifty 50 (Investopedia, n.d.-a). Passive strategies are buy-and-hold, long-term in nature and are defined by transparency, low turnover, and tax efficiency, and are gaining popularity with retail and institutional investors alike (Kannan, 2023).

Over the past two decades, passive investing expanded exponentially. Passive U.S. mutual funds and ETFs had \$13.29 trillion in assets under management as of December 2023, finally surpassing actively managed equity funds for the first time (Morningstar, 2024). The cost ratio for passively managed equity funds stands at 0.11% versus that of actively managed funds at 0.59%, once again illustrating their cost benefit (Barron's, 2025). Besides the cost benefit, the performance difference between passive and active funds also plays an important role in this transition; only 21% of actively managed U.S. large-cap managers outperformed their benchmarks over a ten-year horizon to 2023 (Investopedia, 2024).

Several factors have fuelled the trend. Most important is cost-savings. The much lower fees of passive funds directly translate to greater long-term investor returns (The Economic Times, 2023). Second, investor sentiment has shifted. More than 80% of registered investment advisors in the United States now use outsourced model portfolios based primarily on ETFs and index-based investment strategies, with combined assets projected to reach \$13.2 trillion by 2029 (Wall Street Journal, 2025). Third, digital innovation has also fuelled the adoption of passive investing. Fintech platforms and robo-advisors simplify

portfolio construction, rebalancing, and tax-loss harvesting, inviting retail investors into passive strategies (Kannan, 2023).

The 2008 financial crisis was the tipping point. The crisis undermined confidence in active management strategies and spurred a shift towards investment approaches that emphasize predictability and low cost. The rise of passive investing has since created a new financial model grounded in persistent index tracking and diversified asset holding. But the spreading ubiquity of the practice has raised critical questions about its systemic effects on a broader scale.

This research addresses two principal research questions: First, how does the dominance of passive investment methodologies affect market efficiency? Orthodox finance theory emphasizes the role of active investors in maintaining price accuracy by arbitrage and analytical estimates. Since passive funds rely on price signals provided by active market makers without participating in the price discovery process, doubts about likely inefficiencies are widespread. Secondly, what are the impacts of passive investing on corporate governance arrangements? Today, passive fund investors have large ownership stakes in most public firms. While they lack the "exit" opportunity of less performing firms, they have become more active stewards through their voting rights and activism, and the controversies that have followed concern the quality and accountability of their stewardship.

The rest of this paper follows this structure. Section 2 outlines the conceptual framework, distinguishing between passive and active investment strategies, and addressing the Efficient Market Hypothesis and the institutional investor role in corporate governance. Section 3 discusses qualitative and structural factors responsible for the growing dominance of passive investing. Section 4 considers the implications of the trend for market efficiency, drawing on theoretical views, criticisms, and lessons from specific examples. Section 5

considers the implications for corporate governance, highlighting issues of common ownership and stewardship strategies. Section 6 discusses emerging criticisms and systemic dangers, and Section 7 considers emerging developments of passive stewardship and regulatory interference. Section 8 concludes by summarizing main findings and potential avenues of future research.

2. Conceptual Foundations

2.1 Passive vs. Active Investing

Active and passive investing are two pillars of portfolio management, each grounded in distinct philosophies and approaches. Active investing seeks to perform better than market indexes by taking deliberately research-driven, timing-driven, and judgment-driven investment decisions; active managers select securities in which they believe are mispriced or have growth potential, and make regular portfolio rebalancing (Rathbones, n.d.). Passive investing, on the other hand, seeks to track—rather than beat—the performance of established indexes by maintaining a representative portfolio of securities with low turnover (Rathbones, n.d.; Wilmington Trust, 2023). This "buy-and-hold" strategy focuses on cost efficiency and long-term capital exposure to broad market returns, accepting benchmark tracking error as a concession (CBS, n.d.; Investopedia, n.d.-b).

Historically, passive investing gained traction starting in the 1970s. The intellectual foundations were laid by scholars such as Paul Samuelson, who promoted market indexing, and Eugene Fama, whose research on market efficiency offered the justification for passive approaches (CBS, n.d.; IG, 2018). The initial retail index fund opened in 1973, but the largest innovation occurred in 1975 when Vanguard's John C. Bogle launched the S&P 500 index fund (Wikipedia–Bogle; Wikipedia–Vanguard). Vanguard and its progeny—BlackRock's iShares and State Street Global Advisors—initiated the age of affordable, bulk passive

investment (Senate Banking testimony, 2022; Wikipedia–BlackRock). These behemoths now control assets under management, with passive funds garnering much of the net inflows over the last ten years (FT, 2023).

The main strategic differences between active and passive investing are cost, transparency, and turnover. Passive funds pay a few basis points in fees, whereas active managers usually have 0.5% to 1.5%—a cost disadvantage that erodes returns (Rathbones, n.d.; Wilmington Trust, 2023). Transparency is another point of differentiation: passive funds enjoy complete knowledge of holdings and strategy at all times, whereas active managers will keep their positions hidden in order to limit the dissemination of proprietary information (Investopedia, 2023). Lastly, passive portfolios only trade when indices shift, with lower turnover and lower capital gains distributions, whereas active funds trade more, with higher transaction costs and taxes (Rathbones, n.d.; CBS, n.d.; Wilmington Trust, 2023).

Comparison Between Active and Passive Investing Strategies

Feature	Active Investing	Passive Investing
Objective	Beat the market (generate alpha)	Match market performance (track index/benchmark)
Management Style	Hands-on: frequent analysis and trading	Buy-and-hold strategy with minimal trading
Cost	Higher (management fees, transaction costs)	Lower (reduced fees due to automation and less trading)
Trading Frequency	High (adjust portfolio regularly based on research/forecasts)	Low (rebalanced periodically to reflect index changes)
Research Requirement	Extensive (macro/micro analysis, valuation models)	Minimal (relies on index methodology)
Return Expectation	Potential to outperform market, but with higher risk	Market returns minus minimal costs
Transparency	Lower (often proprietary strategies)	High (index methodology is public)
Suitability	Investors seeking outperformance, tolerating risk	Long-term investors preferring stability and low cost

Figure is a comparative summary of active and passive investment approaches, which have varying cost structure, management, trading patterns, and investment philosophy. This theoretical illustration is drawn from prevailing industry definitions and academically

studied literature, specifically the models outlined in [Morningstar](#) (2022) and observations in [Vanguard](#) (2023).

2.2 Market Efficiency (Qualitative Approach)

The Efficient Market Hypothesis (EMH), the cornerstone of contemporary finance, presumes that asset prices always reflect all information. Eugene Fama originally described the idea in the 1960s, separating between weak, semi-strong, and strong market efficiency depending on the scope of information—historical, public, or private (Wikipedia–EMH; Investopedia, 2004). In EMH, since all the respective information already is contained, active managers have limited room to outperform the market on a regular basis; therefore, a low-cost passive portfolio is the rational choice of investment (Investopedia, 2004; IG, 2018).

While EMH is elegant, it has been empirically challenged. Shiller and behaviourist economists and proponents like Warren Buffett argue that anomalies, bubbles, and irrationality are inconsistent with perfectly efficient markets (Princeton, n.d.; FT, 2025). In fact, while EMH would be supportive of passive investment for retail investors, critics note that systematic inefficiencies—underreaction to news or overreaction to earnings announcements—offer potential benefits to skilled active managers (Investopedia, 2004; FT, 2025). Yet, it is extremely difficult to detect persistently outperforming active managers, as Morningstar's findings illustrate that only roughly one-quarter of large-cap active managers outperform the market over a ten-year period (Investopedia, 2024).

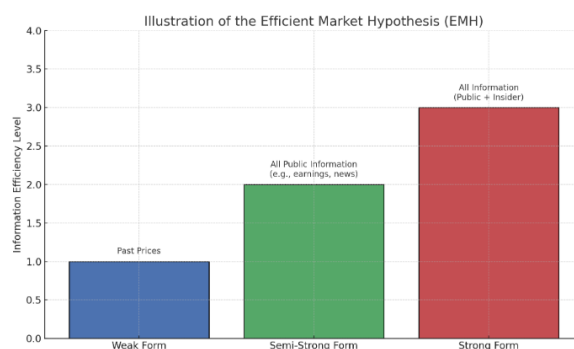


Figure is a theoretical diagram of Efficient Market Hypothesis (EMH) with focus on theoretical differentiation between strong, semi-strong, and weak market efficiency. The figure is a standard EMH diagram employed by academic journals such as [Fama](#) (1970).

Active and passive investors have a supporting role in liquidity and price discovery. Active participants—analysts, traders, hedge funds—invest in arbitrage, research, and fundamental analysis to spot mispricings and thereby enhance informational efficiency (Princeton, n.d.; Rathbones, n.d.). Passive investors are supported in the sense that they are a stabilizer because their flow-based investment activity is less sensitive to short-term news, encouraging lower volatility and mitigating procyclical trading (CBS, n.d.; Louisa et al., 2018). But with increasing passive ownership, concerns are made regarding declining proportions of active capital, having an effect on price sensitivity to new information, market depth, and efficiency in general (Petersson & Thomsen, 2018; IMF, 2021).

2.3 Corporate Governance: Important Concepts

Corporate governance refers to the institutions, policies, and procedures that determine how corporations are controlled and directed. The most important are shareholder rights (e.g., voting on directors, executive compensation, and governance matters), board accountability, disclosure, and the impact of institutional investors on maintaining management in shareholder interests (Healy & Palepu, 2001; Su, 2020).

Institutional investors—largely giant asset managers like Vanguard, BlackRock, and State Street—are increasingly dictating corporate conduct. The "Big Three" now have substantial interests in virtually all public companies, with substantial voting stakes and a megaphone to amplify their voices on topics such as board makeup, executive pay, environmental and social concerns, and climate policy (Harvard Law, 2022; Investopedia,

2025). BlackRock CEO letters urging board diversity and climate disclosure are just two instances of active stewardship by passive managers (Wikipedia–BlackRock; FT, 2024).

Proxy voting is likely the most direct instrument of influence in the power of shareholders. Investment funds cast tens of millions of votes every year, and the Big Three together possess voting interests in some 90% of S&P 500 companies (Investopedia, 2025). Index funds have tended to vote with the management, but trends now reflect increasingly sophisticated and discriminatory voting as passive managers respond to growing pressure from ESG advocates, customers, and regulators (FT, 2024; Harvard Law, 2022).

Engagement strategies—such as management-to-management conversations, voting on shareholder resolutions, and industry-wide campaigns—continue to be another vehicle that passive investors can use to shape business conduct without unloading underperforming shares. This strategy acknowledges that passive funds cannot "exit" a portfolio in the traditional sense; they use the lever of the vote and persuasion (San Diego Law Review, 2018; Harvard Law, 2022).

There are, nonetheless, limitations. In contrast to active asset managers whose worth is based on going through specific asset analysis and earnings, passive managers face scale- and reputation-based incentives rather than α -generation fund flows (Kahan & Rock, 2020). As much as scale enhances their ability to exert influence on governance, it diminishes their motivation to engage in firm-specific investment (Kahan & Rock, 2020; FT, 2023). Critics contend that this can lead to under-monitoring and systemic governance risks (IMF, 2021; GWU, 2024).

3. The Rise of Passive Investing

The expansion of passive investing in recent decades is predicated on a combination of cost efficiency, changing investor preferences, faith in index-based investing, general

availability of fintech, and growing concentration of market power, particularly by the so-called "Big Three" — BlackRock, Vanguard, and State Street.

Cost Efficiency

At the core of the appeal of passive investing is its much lower cost structure. Passive vehicles such as ETFs and index funds have expense ratios of a few basis points, in stark contrast to the 0.5–1.5% that typically gets charged by active mutual funds (Barron's, 2025; The Economic Times, 2023). The cost savings are particularly powerful over the long term, compounding as investors avoid the drag of high management fees and trading costs (Harvard Law, 2019). Economies of scale in passive management allow giant firms to pass efficiencies directly to consumers, fuelling price competition and lower fees. This downward pressure has produced what some analysts have termed an "ETF fee war," forcing active and passive competitors to cut costs in order to retain clients (Barron's, 2025).

Behavioural Adjustments among Retail Investors

In addition to cost, investor conduct has changed fundamentally in the direction of simplicity, transparency, and passive exposure. Research has identified that over 80% of registered investment advisors in the United States currently use model portfolios constructed on ETFs, with passive strategies poised to manage around \$13.2 trillion by 2029 (WSJ, 2025). At the same time, global regulatory changes—prohibitions on commission-based advisor compensation—have eliminated the incentive to suggest costly active funds, thus making passive substitutes easier to adopt (FT, 2024). Hybrid research has also demonstrated the effect of recommendation engines and nudges: online platforms with a bias towards suggesting passive funds may sometimes nudge investors into cost-based choices with suboptimally abysmal results, but generally enable cost-aware behaviour (Zhu et al., 2023).

Trust in Indices and Long-Term Strategies

The 2008 financial crisis and market volatility only served to reinforce belief in broad-market indexing. Passive strategy has been presented as robust and discipline-based, reflecting investors' aspirations for stable, long-term returns with low risk-taking. Passive funds tie investors' expectations to the performance of their selected index and have traditionally provided returns in line with long-term market averages. Such belief in benchmarking rests on few active managers generating consistent alpha; in the long run, underperformance has been the norm (Investopedia, 2024; FT, 2025). As a result, most investors have found comfort in passive strategy as being both economically rational and philosophically in tune with market realism.

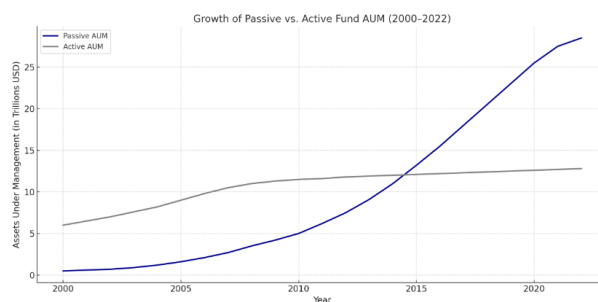


Figure illustrates the relative expansion in asset under management (AUM) by passive and active investment funds since 2000 and up to 2024. Sources of data are industry reports by [Morningstar](#) (2023) and [Statista](#) (2024), which show the persistent trend of domination in the passive fund market, particularly in the aftermath of the 2008 crisis.

Rise of Fintech Platforms and Online Advisors

One of the key drivers of growth in passive investing has been the financial services technology revolution. Sites such as robo-advisors Betterment and Wealthfront, online brokerage sites Robinhood and Zerodha, and automated institutional sites have brought ETF-based investing to the masses, made it efficient, and low-cost. These sites rely on algorithmic model portfolios based on diversification, rebalancing, and tax-loss harvesting — all in low-

cost structures (Investopedia, n.d.; Gershon & Cooper, 2023). User data show frictionless experiences and app-based onboarding lead to retail investors putting money in ETFs and index funds with low friction. The simplicity made investing less intimidating, further fuelling passive flows.

The Concentration of Passive Power: The Big Three

One of the most unexpected side effects of passive expansion has been the emergence of three asset manager behemoths: BlackRock, Vanguard, and State Street. Collectively known as the "Big Three," they have built commanding positions in the passive world. Collectively, their stakes make them the biggest shareholders of roughly 88% of S&P 500 companies and the biggest owners of an estimated 40% of all publicly traded U.S. companies (Fichtner et al., 2017; Cambridge research; Harvard Law, 2022). Estimates of market share in ETFs place BlackRock at 37%, Vanguard at 18.5%, and State Street at 15.5% as of 2016—combined more than 70% of the passive ETF market (Fichtner et al., 2017; Cambridge research). The Cambridge research on this ownership concentration suggests passive investors, while inclined to vote with management, can exercise quantifiable leverage through private conversation and the psychological force their constant presence wields (Fichtner et al., 2017; demirkan commentary, 2025).

While passive investing, by definition, is non-exclusionary, the control that comes with mass asset concentration represents colossal silent power. These firms, by virtue of their size, reap economies of scale, enabling them to charge minimal fees and still manage trillions of assets (Harvard Law, 2019; Wikipedia–BlackRock; Wikipedia–Vanguard). Their looming shadow over corporate voting and board elections is causing alarm regarding accountability, conflicts of interest, and the nature of corporate governance in an index-dominant paradigm (Harvard Law, 2022).

Changing Norms: Alpha-Seeking to Beta-Holding

Passive revolution is a paradigm shift in investor attitudes—from pursuing alpha (outperformance) to embracing beta (market returns) as the rational benchmark. While active managers in the past focused on security selection and tactical trading, passive investors today align expectations to equate market performance with the assistance of benchmarks as targets and guidelines. Clever beta strategies like fundamental indexing, trend-following, or factor-based tilts have become semi-active hybrids, leveraging scale and rules-based constructs to enhance traditional indices, but remaining within the overall passive philosophy (Wikipedia–Smart Beta, 2025). These products enable investors to be beta-centric but try to beat alpha through the intervention of pre-specified rules and low turnover.

But critics warn that when price-insensitive capital is supplied by passive investors at massive scale, in the process, it can unwittingly fuel momentum in large-cap stocks, perpetuating valuation cycles uncorrected. As a case in point, a UC Irvine study finds that the biggest S&P 500 companies have disproportionate rises in both returns and volatility after passive fund inflows, which is a double-edged effect (UCI, 2024).

On balance, the emergence of passive investing is a low-key revolution in the capital markets. Its low expense, ease, technology, and institutional orientation have transformed retail tradition and institutional practice. While these attributes are accompanied by democratization, transparency, and fiscal restraint, they also concentrate power among a few and disrupt market dynamics and governance in a beta world.

4. Impact on Market Efficiency

4.1 Theoretical Perspectives

One of the most important concerns in debate regarding passive investing is whether it is efficient or inefficient in making markets. In theory, passive techniques are not

necessarily engaged in price discovery, but rather use active market participants' prices. This use is a "free-rider" problem, where passive investors take advantage of active investors' efforts without incurring related costs or risks (Alpha Architect, 2022). With increasing passive funds, the ratio of active capital left to discover mispricing declines and enables inefficiencies to persist for longer (FCA, 2019).

Economists have developed models to analyse the impact of a shift to passive holdings on information being priced. For example, Hong and Liu (2018) derive an equilibrium model demonstrating that more passive investment leads to loss of price discovery, especially when growth is investor preference driven rather than a result of enhanced fund efficiency (Hong & Liu, 2018). Similarly, Chapman et al. (2023) establish that higher passive ownership is related to lower liquidity and higher volatility in big-cap stocks such as FAANG stocks (Chapman et al., 2023).

Another theoretical issue is that passive flows warp demand elasticity. When index funds have to buy overvalued stocks in proportion, flows can reinforce valuation cascades and momentum in lieu of investor valuations. Acadian Asset Management warns that passive flows can overweight winning sectors disproportionately because reallocations are according to index weightings rather than fundamentals (Acadian Asset, 2023). Hence, although passive strategies have cost and liquidity advantages, they can inadvertently fuel bubbles or hide signals.

4.2 Critical Discussion

Opponents argue collective prevalence of passive strategies diminishes informational efficiency of markets. The Financial Conduct Authority recognizes a typical collective action problem: passive investors economically save individually but collective action diminishes quality of markets—prices no longer fully react to new information (FCA, 2019).

Morningstar also argues that fewer active trades lower price sensitivity to fundamentals, thus mispricing is maintained (Morningstar, 2023).

This has regulators and academic commentators concerned. In 2021, an IMF working paper cautioned that institutional passive investment might lower liquidity and raise volatility during market stress, particularly in less liquid fixed income markets (FT reporting IMF via FT, 2025). The Financial Times most recently confirmed these concerns, reporting a rise in mispricings and market risk associated with bulk passive inflows (FT, 2024). A warning alarm sounded by the financial services regulator in the United Kingdom, on the other hand, claimed that passive fund dominance raises the risk of diluting corporate monitoring and supervision (FCA, 2019).

But proponents of passive investing claim that it stabilizes markets through reduced turnover and long-term holdings. By insulating markets against high-frequency trading, passive approaches dampen shocks, rendering the probability of flash crashes or liquidity-implied selloffs less likely (Alpha Architect, 2022; FT: ETF efficiency, 2025). In fact, more recent evidence shows a counterintuitive advantage: the availability of ETFs can lower the risk of systemic crises by serving as shock absorbers during times of stress in the market (FT: ETF efficiency, 2025).

Furthermore, some advanced models posit that passive funds, who provide no contribution to pricing, enable transparency and benchmarking that draw capital into equities, adding depth and overall liquidity. An NBER working paper submits that passive investment can be a boon to macro-efficiency by bringing an open, transparent market with increased participation (NBER Working Paper, 2021). Still, the papers go on to state that diminished active monitoring puts more onus on institutional design to maintain market integrity.

4.3 Case-Based Qualitative Insights

Major market events, particularly the 2020 COVID-19 crash, present case-based evidence of the stabilizing power of passive investing and possible alternatives. During the 2020 selloff, passive funds offered deep liquidity and more efficient cost of execution compared to mutual funds, enabling smoother operation of markets (FT: ETF efficiency, 2025). The IMF explained how retail passive investors served as a shock absorber against volatility, whereas tactical trading by institutional bond ETF owners introduced flash instability into fixed income markets (FT, 2025; FT: ETF efficiency, 2025).

One such case study of Apollo Academy on passive ownership is that during the periods of shear market fluctuations, high passive ownership is found to be linked with higher volatility, lower book depth in large-cap firms, and higher idiosyncratic risk (Apollo Academy, 2024). Their models identify that passive inflows are expected to raise price sensitivity, especially in index constituents with low elasticity of demand.

On the contrary, ETF strength in stressful periods is mentioned by defenders. In the worst period in market history in March 2020, ETFs were repeatedly referred to as sources of liquidity and successful transactions, avoiding chaotic fire-sales of assets while mutual funds experienced unprecedented redemptions (FT: ETF efficiency, 2025; FT: ETF efficiency, 2025). Evidently, passive funds had a dual function: keeping things stable and bringing asymmetric risk dynamics.

Surveys of investor and asset managers show diverging views. Some equity strategists credit stability in flows and intraday volatility compression to passive funds. Others are concerned about underlying weakness—passive dominance implies less constraint on pricing errors, and in more complex securities, this decoupling can amplify systemic risk (Rathbones via FT, 2023; FCA, 2019).

For example, in the corporate bond market, increased institutional ownership of bonds in ETFs—70% of corporate bond ETF assets—was linked to increased volatility in times of stress, since in-kind ETF mechanics provided only imperfect resiliency (FT, IMF, 2025). In the U.S. stock market, analysts argue that the velocity and amplitude of recent market movements (e.g., the April 2025 selloff) are a product of the existence of volume concentration among passive funds and systematic funds (MarketWatch, 2025).

5. Impact on Corporate Governance

5.1 Passive Funds and Stewardship

Long criticized as passive "sleeping giants" (Foerster, 2020, para. 3), passively managed funds are increasingly assuming active stewardship responsibilities. As shareholders' fiduciaries, they hold trillions of dollars' worth of listed equities and are regulated and socially pressured to make meaningful interventions in corporate governance (Harvard Law, 2022). The irony is stark: while passive investors are unable to influence firm fundamentals through trading, their vast voting power—especially during proxy season—is called upon to influence board composition, executive compensation, and environmental, social, and governance (ESG) policies (Investopedia, 2025).

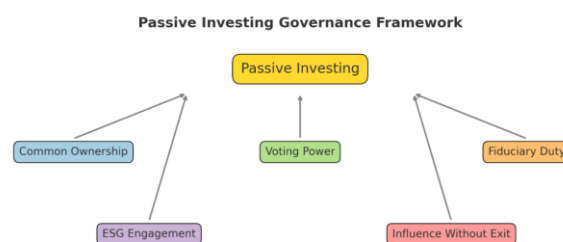


Figure illustrates a governance structure indicating active engagement of passive investors with corporate governance systems through fiduciary duty, proxy voting, ESG activism, and non-divestment stewardship. The structure is adopted from stewardship theory in [Appel](#),

[Gormley, and Keim](#) (2016) and [BlackRock](#) (2021).

In the past, passive funds followed management, upholding the status quo. More recently, however, both Vanguard and BlackRock have begun to split voting by issue type, often disagreeing with management recommendations on ESG matters or shareholder proposals (FT, 2024; Harvard Law, 2022). BlackRock's 2023 stewardship annual report showed it voted against management in over a quarter of all contested director elections, mainly due to board structure concerns or climate risk disclosure (BlackRock, 2023). This is a step towards conditional engagement, with voting being followed by private meetings and public positions, evidencing passive managers are prepared to put pressure on companies on issues of strategic importance—albeit short of activist ferocity.

Shareholder proposals have also remained a persistent priority of passive stewardship. During the 2022 and 2023 proxy seasons, more and more ESG-related proposals—from climate transition strategies to human capital disclosure and executive pay—were endorsed by institutional investors and proxy advisory firms (FT, 2024; GlobeNewswire, 2023). Vanguard, BlackRock, and State Street more and more showed a willingness to vote in their favour when connected to good business sense and investor interest (FT, 2024; GlobeNewswire, 2023). Their support has helped to increase proposal pass rates and contribute to the heightened board and management attention to stakeholder issues.

5.2 Common Ownership Debate

One of the distinctive corporate governance issues of passive dominance is common ownership, whereby a small number of asset managers hold gigantic stakes in several companies within a similar industry. Common ownership is prevalent in industries such as airlines and technology, where scale economies and SIPC domain problems overlap. Common ownership is purported to decrease competition: asset owners can inadvertently

discourage hostile business behavior in favor of mediocre but risk-free returns (Azar et al., 2018; Stigler Centre, 2020).

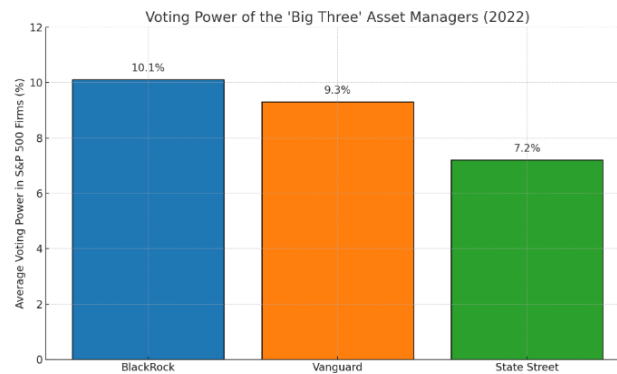


Figure shows the aggregate equity ownership and proxy voting power of the "Big Three" asset managers—BlackRock, Vanguard, and State Street—up to 2023. The estimates are aggregated from financial disclosures and regulatory filings compiled in the analysis in [Bebchuk and Hirst \(2019\)](#).

Scholarship validates these apprehensions. A landmark article by Azar, Schmalz, and Tecu (2018) found that airline common ownership led to higher fares, fewer flights, and lower margins characteristic of coordinated market behaviour tempered by institutional investor interests. Detractors contend that passive investors have no motives to do strategic monitoring, as their profitability stems from size and not from alpha generation; hence, they might prefer governance arrangements that are stability-oriented at the expense of competitiveness (Kahan & Rock, 2020; Harvard Law, 2022).

Moreover, common ownership can minimize agency conflicts. Passive fund managers gain indirectly from long-run stability of the kind such firms ensure but are not impacted by firm-level variation in performance in their fees. Watchdogs, on the other hand, worry about the decrease in governance quality when institutional pressure for accountability is relaxed by

a preference for homogenized, risk-averse policy (IMF, 2021; Fichtner et al., 2017). Common Ownership Across Competing Airlines by Major Asset Managers

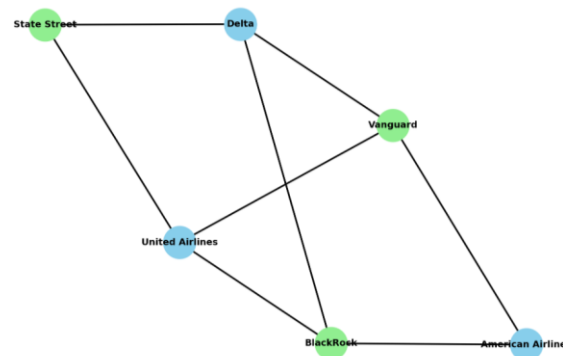


Figure illustrates the level of common ownership of large U.S. airline companies by the largest passive institutional asset holders—BlackRock, Vanguard, and State Street—using recent public filings. Concentration is undesirable regarding reduced inter-firm competition via aligned shareholders' interests. The figure is replicated from data and analysis in [Azar, Schmalz, and Tecu \(2018\)](#), which has been widely cited in argument regarding common ownership and its anticompetitive effects.

5.3 Influence Without Exit

Stewardship Engagement Cycle

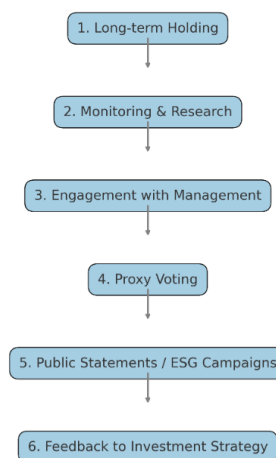


Figure 5 illustrates the stewardship engagement process commonly used by large passive asset managers. It describes the long-term holding process to research, engagement, voting, and ESG-based feedback loops. The design is borrowed from stewardship practices detailed in [Vanguard](#) (2022) and [OECD](#) (2020) reports.

Unlike active investors, passive fund managers are unable to disinvest poor-performing companies—they must retain the companies in the index regardless of the outlook for the company. This creates strategic constraints and provides a new vehicle for influence: voting and engagement. Passive funds have responded by expanding stewardship programmes, forming coalitions with industry rivals, and creating public profile when persuasion fails.

BlackRock's January 2021 letter also articulated a clear change: instead of divesting stock on misaligned corporate behaviour, the company will "engage" in companies through conversation and, if needed, vote against board members (BlackRock, 2021). Vanguard's stewardship approach is also not an exception, opting to engage but retaining the option to exclude companies from its sustainability indexes if they do not comply (Vanguard, 2022).

This form of influence generally relies on institutional voice and reputational pressure rather than economic incentives. As members of broader stewardship communities like the UN Principles for Responsible Investment (PRI), these companies are aligned on high-profile topics and collaborate with fellow shareholders on advocating for change or disclosure (PRI, 2023). These initiatives are reported in annual stewardship reports, with BlackRock, Vanguard, and State Street reporting thousands of engagements globally each year, ranging from direct dialogue with CEOs, board chairs, and governance committees (BlackRock, 2023; Vanguard, 2022; State Street, 2022). The pendulum is undeniable: passive managers are no longer spectators; they exercise their stewardship power to influence corporate decision-making while holding diversified index exposures.

5.4 Illustrative Examples

Passive stewardship evolution is best shown through case studies. In ExxonMobil's 2021 board battle, activist investor Engine No. 1 won three seats focused on climate risk and strategy. Passive managers were instrumental: BlackRock and Vanguard backed one of the insurgent nominees, flashing a powerful signal regarding climate accountability, even while pushing back against more radical proposals (Ferraro, 2021; FT, 2021). Their cautious backing was welcomed by governance supporters as a watershed for ESG-led voting.

BlackRock's increasingly activist ESG position has been front and centre. In 2022, BlackRock issued its "climate action" voting policy, pledging to report annually on climate risk and suggest voting against directors if targets are not achieved. The company has since voted against over 1,000 directors for poor governance framework or refusal to sign up for climate transition plans (BlackRock, 2023; FT, 2023). Supporters insist that this kind of leadership actually makes a difference to corporate standards, while cynics claim these steps are more about branding than actual activism.

Commentators give a balanced view that can moderate expectations. Corporate governance expert Roberta Stout complemented passive funds' careful strategy: "They are learning to push with precision rather than abandon ship" (Stout, 2022, p. 12). Others, like economist Luigi Zingales, suggest that votes are progress but that passive managers need greater transparency and firm-specific data to revolutionize the paradigm as a whole (Zingales, 2021). Private sector perspectives meanwhile remind us that stewardship effectiveness still differs wildly by region and asset manager, citing variation even in the governance approach of Chartered Financial Analyst Institute (CFA) surveys (CFA, 2023).

6. Critical Perspectives and Emerging Concerns

The swift rise of passive investing has drawn critical attention for its potential to contribute to market homogenization, systemic fragility, and diminishing capital allocation efficiency. As Vanguard, BlackRock, and State Street consolidate influence, regulators and academics have questioned the ethics of concentrated voting power in nearly monopolistic market positions.

Market Homogenization and Systemic Fragility

One basic worry is that passive investing, by aggregating capital flow by index weights over firm fundamentals, necessarily promotes market homogeneity. Ownership concentration aligns asset managers' incentives, reducing investment diversity of opinion (Fichtner, {{Heemskerk}}, & Garcia-Bernardo, 2017; Wikipedia, 2025). The mechanistic operation of index inflows—whereby giant funds buy same holdings irrespective of prices—can boost the momentum in large-cap stocks, resulting in valuation distortions (FT, 2024; Wikipedia, 2025). Empirical evidence confirms that such flows increase bid–ask spreads, volatility, and idiosyncratic risk, and reduce price sensitivity to firm-specific information (Höfler, Schlag, & Schmeling, 2023; Morningstar, 2023).

Highly penetrated markets can be deprived of the countervailing power of active managers under stress, and thus undermine systemic stability. The Federal Reserve Board and Harvard Law School report identified the risk of "fire-sale" dynamics in the bond markets, while passive funds amplified volatility during the COVID-19 pandemic (McCabe et al., 2018; FT & IMF, 2025). In addition, market commentators point out that index rebalancing events—like Tesla's 57% price rise after being added to the S&P 500—show how passive-led flows, which are initiated by index provider discretion, warp prices and increase shocks (FT, 2024).

Growing Regulatory Scrutiny of Passive Managers

Increased influence and attention have led to re-regulatory oversight. Regulators in the US are considering the ownership levels and influence of passive managers. In July 2024, Vanguard threatened possible enforcement action if regulators impose ownership limits on banks and utilities—controlling nearly 25% of most companies (FT, 2024). Federal regulators like the Federal Deposit Insurance Corporation (FDIC) and Federal Energy Regulatory Commission (FERC) have indicated potential limits if passive managers push for increased control via voting (FT, 2024). Additionally, re-regulatory focus on index provider behaviour has increased; index-linked options—e.g., S&P 500 or MSCI index adjustments—can channel hundreds of billions of investor capital into particular companies, which threatens impartiality and systemic risk (FT, 2024).

Globally, European regulators have been focused on seeking more accountability, especially in ESG investing. Asset managers must report engagement policies under EU Shareholder Rights Directive II, and new rules suggested would add requirements for ESG disclosures, stewardship, and voting (Simmons & Simmons, 2020). This international regulatory trend recognizes the passive funds' special position in that they have influence across sectors but have fewer controls in place compared to active funds.

The Ethics of Outsized Voting Power and Lack of Accountability

The passive manager voting share ownership also poses ethical concerns. As de facto universal owners, passive asset managers must balance being diversified investors and quasi-sovereign shareholders (Wikipedia, 2025; Harvard Law, 2019). Critics are concerned that this intersection is not sufficiently accountable: while active managers are under client pressure to justify investments or divest poor performers, passive managers cannot divest poor performers and thus have no economic disincentives (Wikipedia, 2025; Kahan & Rock,

2020). The moral hazard runs deep—since their fees are based on total assets under management, not performance, passive managers will prefer size and brand over in-depth engagement.

The index committee role worsens these issues. As the Financial Times reported, committees at companies such as S&P and MSCI can divert vast currents of capital by making changes to indices, but these organizations lack transparency and accountability (FT, 2024). The lack of transparency in adding Tesla to the S&P 500 created \$78 billion of ETF flows attributable to passive replication, having a profound effect on prices through basic mechanical activity. This authority needs to be governed and ethically managed as much as is placed on active managers and institutional fiduciaries (FT, 2024).

Weakening Capital Allocation Efficiency

In addition to market forces, academics argue whether passive investing misdirects capital from best allocation in the economy. The rationale is that passive funds seeking "beta" capture broad-market exposure but do not invest capital in potentially undervalued companies, new businesses, or areas of innovation that would be best served (FT, 2024; Wikipedia, 2025). Where passive is promoted by some—quoted in active spaces like VC and banking—the consensus is that equity capital is less affected by this trend (FT, 2024).

But critics counter that passive dominance can still constrain equity capital supply to smaller or growth-stage companies. If investors over-invest in large-cap passive indexes, small and mid-cap stocks will suffer from neglect and capital injection irrespective of fundamentals, perpetuating systemic imbalances. Past market concentration waves in the 1970s and 1990s were transitory since active capital eventually corrected mispricing; a more passive contemporary era may lack this robustness (FT, 2024).

The critique of passive investing highlights four interconnected concerns: market homogenization, systemic fragility, ethical opacity, and potential misallocation. While passive strategies offer undeniable benefits—cost efficiency, long-term stability, and democratized access—they also introduce governance and market risks that require attention. Regulators worldwide are beginning to address these complexities, but as index-based investing reaches over half of U.S. public market capitalization, the urgency for new frameworks and oversight grows (FT, 2024).

7. Future Outlook

The future of passive investing points toward evolving responsibilities and models—shifting from pure market replication to increased stewardship, greater customization, and regulatory oversight. This evolution reflects both the power and the vulnerabilities inherent in the current passive architecture.

The Shift Toward “Passive Stewardship”

As passive managers achieve scale, they are doing so while assuming a governance role—becoming “passive activists.” These managers understand stewardship is no longer optional, with regulators and clients demanding more from them (Harvard Law, 2022). In practice, stewardship has moved on from occasional voting to active, persistent engagement with firms. BlackRock's stewardship report bears testament to the shift, recording a near 15% quarter-on-quarter rise in year-on-year engagements, especially on climate and board diversity (BlackRock, 2023). This suggests passive behemoths not only are happy to have their voice heard but are constructed to build stewardship into their operating model.

But scepticism surrounds the vigour and impact of these efforts. Critics suggest that while voting and participation are improvements, passive managers remain short of the firm-specific research skill and robust economic incentive that entail active strategies (Kahan &

Rock, 2020). Without exit threat, their impact relies on reputational and peer pressure rather than money penalties. All the same, initiatives such as collective stewardship—where passive investors collectively act on ESG issues—can lend their voice more muscle. Vanguard, for instance, has joined investor coalitions to advocate for better climate disclosures and board governance, implying a transition from passive bystander to standard-setter (Vanguard, 2022).

The Development of Direct and Custom Indexing

The most significant innovation in the works is custom or direct indexing, wherein direct investors are able to construct bespoke portfolios that track an index but with desired tax and thematic benefits. Such vehicles marry passive efficiency with granular customization, allowing investors to avoid certain sectors, tilt toward ESG, and harvest tax loss—yet maintain market exposure (Morningstar, 2024). Industry titans such as Vanguard and BlackRock have already started to offer such services as a reaction to clients' demand for bespoke portfolio solutions.

Direct indexing has the ability to alter the competitive dynamic by breaking the oligopoly in the index-based space that characterizes conventional passive investing. It gives investors more control over asset allocation and the power to actively engage at the micro level. As the model expands, it can direct passive capital to more instruments, which can instill some pricing discipline back into smaller or mid-cap venues that were avoided by broad-market funds.

Potential Regulatory Responses

In response to passive investing's popularity and sway, policy action is being considered by U.S. and international regulators. One high-profile suggestion is to place limits on passive funds' holdings of strategic infrastructure or systemically significant companies, to

resist governance risks from ultra-concentrated voting (FT, 2024). The European Union's revised Shareholder Rights Directive II already mandates that asset managers make stewardship policies and voting records public—leaving the door open for further transparency initiatives (Simmons & Simmons, 2020).

Other proposed regulatory measures are to mandate standardized metrics of stewardship performance, such as vote consistency, engagement frequency, and results (IMF, 2021). Some recommend reconfiguring index provider governance—strengthening independent committees, greater transparency of control of inclusion decisions, and reducing systemic bias in index development (FT, 2024). Greater emphasis is also being put on encouraging hybrid fund models merging active monitoring with passive management, with the potential of offering low costs and excellent stewardship.

The passive investment landscape is on the verge of a new era. Costs and access to broad markets will remain core value propositions, but stewardship responsibilities, customization possibilities, and regulatory constraints will shape its future. Passive titans already are becoming governance stakeholders, but success will depend on building stronger engagement habits and transparent metrics. Innovations like direct indexing potentially will extend passive paradigms, deepen market sophistication, and partly restore active discipline. Ultimately, regulatory oversight—through ownership limits, disclosure rules, or index governance reforms—will determine whether passive investing will continue to deliver system stability, or become a vehicle for diluted responsibility.

8. Conclusion

The rise of passive investing has reshaped the nature of global financial markets, with both structural efficiencies and profound implications for governance. As this paper

describes, the move to passive from active is more than a portfolio management shift—it is a shift in the practices of capital allocation, price formation, and corporate governance.

From the point of view of market efficiency, passive investing has created great controversy. Passive investing has levelled the playing field in accessing diversified and low-cost investment products, and long-term wealth creation has been made available to millions of investors on one side. On the other side, passive investing undermines traditional price discovery mechanisms. Passive funds, by definition, do not attempt security-level trading or analysis based on fundamental information. This dependence on active managers for price discovery leads to a typical free-rider problem (Fama & French, 2004). As more and more money enters index-tracking strategies, the burden on active investors to unwind mispricings increases disproportionately, leading to problems of long-term informational efficiency (Wurgler, 2010).

The corporate governance implications are similarly complicated. Passive managers, especially the so-called "Big Three" of BlackRock, Vanguard, and State Street, now have substantial stakes in almost all large publicly traded firms. Their increasing influence, exercised mainly through proxy voting and shareholder activism, have made them important governance players (Bebchuk & Hirst, 2019). Stewardship initiatives are on the rise, including on ESG matters, but with ongoing worries about the quality, consistency, and impact of these interventions. The inability to "exit" underperforming firms through sell-out makes their influence subject to negotiation and voting—a more protracted and less coercive mechanism than that of activist investors (Kahan & Rock, 2020).

This dual nature—of democratizing access with concentrating control—sets the core dynamic of passive investing. It facilitates mass access to financial markets at historically low prices, fostering financial inclusion and decreasing dependence on expensive intermediaries.

But in doing so, it also creates systemic issues, such as the risk of market homogenization, lessened competitive pressures through common ownership, and the ethical issues of undue voting control by a few centralized institutions (Schmalz, 2018). They are not abstract intellectual concerns; they have tangible implications for market resilience, investor protection, and corporate accountability.

With the speed at which passive strategies are expanding, additional research and careful regulation are in urgent need of attention. One of these is ongoing development and regulation of stewardship norms—making passive funds' governance transparent, quantifiable, and directed toward long-term shareholder value. Another is scrutiny of hybrid models, like direct indexing and smart beta, that combine passive exposure with active tailoring and potentially reclaim some price-setting power. Lastly, policymakers will need to confront whether ownership caps, increased disclosure, or changes to index provider governance are needed in order to preserve competitive integrity and system stability.

In short, passive investing is a conceptual revolution, rather than a technical one. Its long-term consequences to market efficiency and corporate governance are still to be fully revealed. One thing is certain, however, is that its consequences are too grand to be "passive" in the public eye. An active reaction—by investors, regulators, and academics alike—is necessary to ensure that the advantages of this investment revolution are retained, while its disadvantages are managed accordingly.

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